INSTITUTE FOR FUTURE INTELLIGENCE, INC.

FINANCIAL STATEMENTS

SEPTEMBER 30, 2021

TREEFUL DAMASO ANICETO | CERTIFIED PUBLIC ACCOUNTANTS

INSTITUTE FOR FUTURE INTELLIGENCE, INC.

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INDEPENDENT AUDITORS' REPORT

To the Board of Directors
Institute for Future Intelligence, Inc.
Natick, Massachusetts

Opinion

We have audited the financial statements of Institute for Future Intelligence, Inc., which comprise the statement of financial position as of September 30, 2021, and the related statements of activities, functional expenses, and cash flows for the year ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the financial position of Institute for Future Intelligence, Inc. as of September 30, 2021, and the changes in its net assets and its cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statement section of our report. We are required to be independent of Institute for Future Intelligence, Inc and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statement, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Institute for Future Intelligence, Inc's ability to continue as a going concern for one year after the date that the financial statement is issued.

Auditors' Responsibilities for the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statement as a whole is free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statement. In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statement, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statement.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Institute for Future Intelligence, Inc.'s internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statement.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Institute for Future Intelligence, Inc.'s ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control–related matters that we identified during the audit.

Treeful Damaso Aniceto, Inc.

February 9, 2023

INSTITUTE FOR FUTURE INTELLIGENCE, INC.

STATEMENTS OF FINANCIAL POSITION

SEPTEMBER 30, 2021

ASSETS

Cash and cash equivalents	$ 11,509
Accounts receivable	147,917
Total Assets	$ 159,426

LIABILITIES AND NET ASSETS

Accounts payable	$ 63,958
Accrued expenses	28,446
Notes payable - related party	59,500
Total Liabilities	151,904
Net Assets:	
With donor restrictions	-
Without donor restrictions	7,522
Total Net Assets	7,522
TOTAL LIABILITIES AND NET ASSETS	$ 159,426

The accompanying notes are an integral part of these financial statements.

INSTITUTE FOR FUTURE INTELLIGENCE, INC.

STATEMENTS OF ACTIVITIES

SEPTEMBER 30, 2021

Revenues	
Contract revenue	$ 536,276
Donations	500
Total Revenues	536,776
Expenses	
Program expenses	493,893
Administrative expenses	35,361
Total Expenses	529,254
Change in Net Assets	7,522
Net Assets - Beginning of Year	-
Net Assets - End of Year	$ 7,522

The accompanying notes are an integral part of these financial statements.

INSTITUTE FOR FUTURE INTELLIGENCE, INC.

STATEMENTS OF CASH FLOWS

SEPTEMBER 30, 2021

Cash Flows from Operating Activities	
Change in net assets	$ 7,522
Changes in operating assets and liabilities:	
Accounts receivable	(147,917)
Accounts payable	63,958
Accrued expenses	28,446
Net cash provided by used in operating activities	(47,991)
Cash Flows from Financing Activities	
Proceeds from notes payable- related party	69,500
Payments on notes payable - related party	(10,000)
Net cash provided by financing activities	59,500
Net change in cash and cash equivalents	11,509
Cash and cash equivalents, beginning of year	-
Cash and cash equivalents, end of year	$ 11,509
Supplemental Disclosures:	
Taxes paid	$ -
Interest paid	$ 637

The accompanying notes are an integral part of these financial statements.

INSTITUTE FOR FUTURE INTELLIGENCE, INC.

STATEMENTS OF FUNCTIONAL EXPENSES

SEPTEMBER 30, 2021

	Total	Program	Administrative
Salaries	$ 342,927	$ 333,393	$ 9,534
Employee benefits	54,465	53,224	1,241
Contractors and consultants	31,028	31,028	-
Subrecipients	34,056	34,056	-
Payroll taxes	27,909	26,977	932
Technical services	10,316	9,856	460
Accounting	21,180	-	21,180
Training and conferences	2,819	2,718	101
Stipends	1,785	1,785	-
Fees and licenses	1,095	-	1,095
Interest expense	637	-	637
Administrative, office postage, shipping	544	511	33
Dues and subscriptions	447	299	148
Travel	46	46	-
Total	$ 529,254	$ 493,893	$ 35,361

The accompanying notes are an integral part of these financial statements.

INSTITUTE FOR FUTURE INTELLIGENCE, INC.

NOTES TO FINANCIAL STATEMENTS

SEPTEMBER 30, 2021

NOTE 1 – NATURE OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Institute for Future Intelligence, Inc. (known as DPC) was established in 2020. The Organization's purpose is to search for creative educational solutions in the era of artificial intelligence. To accomplish the mission, the Organization focuses on innovative research and development that support science, technology, engineering, and mathematics (STEM) education in socioeconomically diverse communities nationwide. Specifically, the Organization develops advances learning technologies, conducts frontier educational research, and disseminates results around the world.

Basis of Presentation

The financial statements of the Organization have been prepared on the accrual basis of accounting in conformity with accounting principles generally accepted in the United States of American (US GAAP). A summary of the Organization's significant accounting policies are set forth below.

Financial Statement Presentation

The Organization reports information regarding its financial position and activities according on two classes of net assets that are based upon the existence or absence of restrictions on use that are placed by its donors: net assets without donor restrictions and net assets with donor restrictions. Net assets with donor restrictions are subject to donor-imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Net assets without donor restrictions are resources available to support operations and not subject to donor restrictions.

The only limits on the use of net assets without donor restrictions are the broad limits resulting from the nature of the Organization, the environment in which it operates, the purposes specified in it corporate documents and its application for tax-exempt status, and any limits resulting from contractual agreements with creditors and others that are entered into in the course of its operations.

The Organization's unspent contributions are reported in net assets with donor contributions if the donor limited their use, as are promised contributions that are not yet due. Contributions of property and equipment or cash restricted to acquisition of property and equipment are reported as net assets with donor restrictions if the donor has restricted the use of the property or equipment to a particular program. These restrictions expire when the assets are placed in service.

When a donor's restriction is satisfied, either by using the resources in the manner specified by the donor or by the passage of time, the expiration of the restrictions is reported in the financial statements by reclassifying the net assets from net assets with donor restrictions to net assets without donor restrictions.

The Organization has no net assets with donor restrictions as of September 30, 2021.

NOTE 1 – NATURE OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES - Continued

Management Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Cash and Cash Equivalents

For purposes of reporting cash flows, the Company considers cash in operating bank accounts and cash on hand as cash and cash equivalents.

Income Taxes

The Organization qualifies as an agency formed for charitable purposes under Section 501(c)(3) of the Internal Revenue Code (IRC) and therefore are not subject to income tax. The Organization is not a private foundation under Section 509(a)(J). Certain unrelated business income, as defined in the IRC, is subject to federal income tax. For the year ended September 30, 2021, there was no liability for tax on unrelated business income. Management has considered and concluded that the Organization has no uncertain tax positions.

Accounts Receivable

The Organization records accounts receivable in amounts that management expects to collect from outstanding balances. Management expects to collect all outstanding balances and therefore does not maintain an allowance for uncollectible account.

Revenue Recognition

The Organization recognizes revenue by determining whether transactions should be accounted for as contributions or exchange transactions, and determination of whether a contribution is conditional. A contribution is considered to be conditional if an agreement includes a barrier that must be overcome and either a right of return of assets or a right of release of a promise to transfer assets exist. Indications of a barrier include a measurable performance-related barrier or other measurable barriers, a stipulation that limits discretion by the recipient on the conduct of an activity, and stipulations that are related to the purpose of the agreement. If grants and contributions are conditional, they should be recorded as a conditional grant liability until conditions are met. Grants and contributions are recorded as revenue when unconditionally received or pledged. Contributions received are recorded as increase in net assets without donor restrictions or net assets with donor restrictions, depending on the existence and/or nature of any donor restrictions. Transfers are made to net assets without donor restrictions as costs are incurred or time restrictions or program restrictions have lapsed.

NOTE 1 – NATURE OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES - Continued

Revenue Recognition (continued)

The Organization's receives a substantial portion of its revenue through federal cost reimbursement contracts from the National Science Foundation, which are conditioned upon certain performance requirements and/ or the incurrence of allowable qualifying expenses. Amounts received are recognized as revenue when the Organization has incurred expenditures in compliance with specific contract or grant provisions. Amounts prior to incurring qualifying expenditures are reported as refundable advances in the statement of financial position.

Functional Allocation of Expenses

The costs of program and supporting services activities have been summarized on a functional basis in the statement of activities. The statement of functional expenses presents the natural classification detail of expenses by function. Accordingly, certain costs have been allocated among the programs and supporting services benefited.

Compensated Absences

Compensated absences each week as earned and is included in accrued expenses.

Outreach and Advertising

Advertising costs are charged to operations when incurred.

Subsequent Events

The Organization has evaluated all subsequent events through February 9, 2023, the date the financial statements were available to be issued.

NOTE 2 – ACCOUNTS RECEIVABLE

Accounts receivable are composed of the following amounts:

National Science Foundation	$ 112,219
pass through	
The Concord Consortium	25,072
Purdue University	10,626
Total	$ 147,917

NOTE 3 – RISKS AND UNCERTANTIES

Concentrations

A significant portion of the Organization's revenues consists of government grants. This funding is vulnerable to changes in the legislative priorities of federal, state, and local governments. For the year ended September 30, 2021, government grants comprised of 99% of total revenue.

NOTE 4 – NOTES PAYABLE – RELATED PARTY

The Organization received proceeds from board members and employees in the form of unsecured notes payable with interest at 1% per annum with balances due in the fiscal year ended September 30, 2022. Amounts due as of September 30, 2021 are as follows:

Charles Xie	$ 39,500
Shannon Sung	20,000
Total	$ 59,500

NOTE 10 – LIQUIDITY AND AVAILABILITY OF FINANCIAL ASSETS

The Organization has $159,426 of financial assets available within one year of the statement of financial position date to meet cash needs for general expenditures consisting of cash of $11,509 and accounts receivable of $147,917. None of the financial assets are subject to donor or other contractual restrictions that make them unavailable for general expenditure within one year of the statement of financial position date. The accounts receivable are subject to implied time restrictions but are expected to be collected within one year. The Organization has a goal to maintain financial assets, which consist of cash, on hand to meet 60 days of normal operating expenses, which are, on average, approximately $90,000. The Organization has a policy to structure its financial assets to be available as its general expenditures, liabilities, and other obligations come due.

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